

A Report
for the course:
Management Information System (BM510H)
On
“Deliveroo: Global Food Delivery App”



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1. Case study on Deliveroo, the Global food delivery app.

Deliveroo is a British company, belonging to the food delivery space, based in London, England. The firm operates in 200 cities: United Kingdom, the Netherlands, Ireland, Belgium, France, Spain, Italy, Australia, Singapore, Hong Kong, the United Arab Emirates, and Kuwait. Food from any restaurant delivered through the Deliveroo app goes directly to the customer from one of 100,000 restaurants partnered with them and 60,000 riders.

Deliveroo was founded in 2013 by Will Shu, an investment banker from New York City who found it impossible to get good quality restaurant food delivered to his office. The company's IPO in early 2021 was a borderline disaster: the stock fell as much as 30% on the first day of trading, reducing the company's valuation to around £2.1 billion from £7.6 billion.

Deliveroo's business model is based on charging both the restaurant and the customer a fee for each online order it processes. It uses transaction fee revenue. The company's business processes rely on its network of 2,500 employees in 14 countries and an extensive technology platform including apps for customers and riders, GPS-enabled maps, and sophisticated software for managing orders and payments.

The success of Deliveroo is attributed to the provision of value to all the members of its business ecosystem. Restaurants can easily penetrate and increase their sales in other markets without necessarily operating delivery systems themselves. With the app, customers can quickly order food from various restaurants at a convenient time.

Deliveroo faces several challenges. It must compete with other food delivery apps, such as Uber Eats, Just Eat Takeaway, and Door Dash, and some of its restaurants have complained about high fees. Deliveroo has also been criticized for classifying its riders as self-employed independent contractors rather than employees, which prevents the company from having to pay employment taxes and benefits.

2. Deliveroo: Global Food Delivery App

What is Deliveroo? Deliveroo is an international company that specializes in food delivery, operating across many countries worldwide. It delivers restaurant food to the consumers who make orders through the Deliveroo mobile application.

How does it work? Deliveroo collaborates with over 100,000 restaurants and has the rider's network of 60,000 bike cyclists and scooter riders. Customers' orders are placed through the app, and they then get delivered to those customers.

What is the business model? Deliveroo charges both restaurants and customers a commission for every order it facilitates. The business model behind the company's success is that it adds value to all participants in its business ecosystem. Restaurants can realize sales without having to develop their own delivery service. Customers have the convenience of being able to order food at almost any time from any one of hundreds of restaurants.

Issues faced by Deliveroo also faces competition from other food delivery applicants and has been accused by a few of its restaurant partners of charging them very high fees. The company is also under attack for considering its riders as independent contractors rather than employees, which denies it an opportunity to provide them with the employment benefits.

How does it look? Prospects of Deliveroo are a blurred horizon. The company is still not in the black, and the IPO process it went through was not met well with the investors. Therefore, if Deliveroo wants to be a long-term success story, the company must overcome some critical issues.

3. Introduction

Online food delivery space has witnessed an extraordinary transformation, changing how people order and eat food. Once considered a niche, the market has expanded exponentially over the past few years, driven by rampant smartphone penetration and changes in lifestyle, increasing the demand for convenience. Such a revolution has brought about a lot of disruption in these traditional restaurant models in business. Restaurants have finally realized the growing importance of incorporating online ordering and delivery services to not only remain in the game but also to satisfy evolving customer needs.

Deliveroo, founded in 2013 by Will Shu, has emerged as one of the major players in this digital disruption. Deliveroo is headquartered in London and delivers to many countries in Europe, Asia, and the Middle East, connecting millions of customers with an impressive network of restaurants and delivery riders. Deliveroo aims to "bring the world's best-loved restaurants to your door," catering to a wide variety of cuisines and allowing an easy application for ordering and tracking meals.

From inside, the strength of Deliveroo lies in the effective implementation of technology. The company has successfully designed a complex technology platform that integrates mobile applications, order management systems, GPS tracking, and data analytics to optimize operations and create value for all stakeholders. This techno-centric approach has allowed Deliveroo to stand apart in the market and differentiate with fast delivery times, diverse options in restaurants, and seamless experiences with the users. How well Deliveroo can utilize technology will be a steppingstone for its further growth and existence in the ever-changing digital food delivery realm.

4. Business Model of Deliveroo

Deliveroo operates through a three-sided marketplace model, which mediates between customers, restaurants, and delivery riders in a digital ecosystem. It is built on value creation for each of these core partners in the business.

Customers Deliveroo is a great option for customers who can easily and conveniently order meals from a huge number of restaurants, to be delivered directly to their doorstep. Its user-friendly interface, diverse cuisine options, and ability for real-time order tracking enhance the customer experience.

Restaurants: In the case of restaurants, Deliveroo has opened a wider market for customers and further sales opportunities. Restaurants, upon linking with Deliveroo, can tap into a wider pool that transcends their geographical location, taking advantage of the developing online food ordering industry. This implies increased revenues for restaurants without operational expenses attached to running a delivery system themselves.

Riders: Deliveroo offers flexible work opportunities for those interested in becoming delivery riders. Riders can choose any number of hours they would like to work, and they mostly work independently, giving them some control over their earnings. This type of flexibility will attract all kinds of delivery talent.

Primarily, Deliveroo's revenue model focuses on the transactional charges levied on restaurants for each order completed through the company's platform. The fee levied varies from 20-30% of the value of an order, depending on the restaurant location, order volume, and specifics agreed upon contractually. Besides the commission fee, Deliveroo also earns revenue through delivery fees collected from customers, onboarding fees when partnering with new restaurants, and advertisements or promotional opportunities on its platform.

Deliveroo's multi-dimensional revenue model allows it to generate income from various sources within its ecosystem, which supports its activities and investments in technology as well as growth initiatives. However, delivering profit while trying to remain competitive and to offer value to all stakeholders is a challenge.

5. Technology: For Deliveroo

Deliveroo's core competency comes in the form of its technology platform that connects customers with restaurants and riders. This is where the company's strength lies, to optimize delivery routes, manage orders by ensuring greater efficiencies, and creates an overall seamless experience for all the stakeholders.

Key Technology Components:

1. Mobile Applications: For both customers and riders, Deliveroo has a separate mobile application- available for iOS as well as Android.

- **Customer App:** This app allows customers to easily browse and search for restaurants, place orders, customize meals, track deliveries in real-time, and manage their accounts.
- **Rider App:** This app is designed for delivery riders, providing them with essential information such as order details, delivery locations, and optimal routes. It also allows riders to manage their availability and track their earnings.

2. Web: The web platform for Deliveroo offers a fully featured interface through which customers can browse information regarding the service, restaurants, and order service; the partner's menu is managed, registered, and access resources to restaurant partners in a hub.

3. Order Management System: The order management system of Deliveroo is an advanced software solution that manages the entire lifecycle of orders. It processes incoming orders, assigns riders depending on availabilities and proximity, tracks delivery in real time, and manages payments.

4. GPS and Mapping Technology: Deliveroo uses GPS and mapping technology to optimize delivery routes with precise estimates of delivery times. This technology ensures that riders use the most efficient route possible, avoiding traffic congestion, and ensuring timely delivery.

5. Data Analytics: Deliveroo uses data analytics to gather insights into its operations including customer behavior, restaurant performance, and rider efficiency. Such analytical capabilities allow the company to make informed choices regarding pricing, marketing, and expansion.

6. Cloud Computing: Deliveroo has adopted Amazon Web Services (AWS) for its cloud computing infrastructure. Through this, AWS offers a scalable and reliable framework by which Deliveroo hosts its applications, stores its data, and runs its growing operations.

7. Amazon Sage Maker: Deliveroo uses the Amazon Sage Maker platform to build and deploy machine learning models as a service. This is used for predicting various aspects of the business such as time delivery, recommending restaurants to customers, and detecting fraud.

Deliveroo's technology platform is a critical asset that has set the company to effectively compete in the online food delivery market. The continued investment in technology innovation by the company is essential for continuing the competitive advantage and meeting the evolving needs of its customers, restaurant partners, and riders.

6. Competitive Analysis

The online food delivery market is a competitive field, and Deliveroo competes with a ton of firms seeking to steal a share of the market and clients. The company must compete with both new entrants and more established players with varying strengths and weaknesses.

Key Competitors

Some of the main competitors with Deliveroo include:

- **Uber Eats**
- : This is a subsidiary of Uber that brings a huge collection of restaurants to customers, using its network of drivers for the deliveries.
- **Just Eat Takeaway:** An EU-based company with a large presence in the UK and other European countries.
- **Door Dash:** A significant player in the US by having large networks of restaurants on board through its app.
- **Grub hub:** It is also another big competitor within the US by offering many restaurants and focusing on customer service.
- **Delivery Hero:** A global food delivery business primarily within Asia, the Middle East, and Latin America.
- **Meituan Dianping:** Chinese e-commerce firm with a market leading position in the Chinese food delivery market.

7. Competitive Environment

The competitive environment in the online food ordering market is marked by:

- **High Growth:** The sector is witnessing significant growth, with revenues likely to hit \$154 billion globally by 2023.
- **Mobile-First:** Many of the orders come through mobile applications, which points towards the need for a hassle-free mobile experience.
- **Data-Driven:** Organizations are increasingly relying on data analytics to optimize routes for delivery, provide personalized recommendations, and enhance customer service.
- **Consolidation:** This sector has also experienced increased consolidation, where bigger companies gobble up the smaller ones.

Deliveroo's Differentiation

Deliveroo differs from competition through several distinctive strategies below:

- **Focus on High-Quality Restaurants:** They operate with high-quality restaurants that they curate into their services. Deliveroo will have a wider variety of premium quality as compared to some other competitors.
- **Focus on Speed:** Deliveroo stresses speed, leveraging route optimization and efficient networks of riders to deliver quickly.
- **High-Tech Approach:** Deliveroo heavily invests in its technology platform pertaining to its mobile apps, order management system, and data analytics capabilities to provide a better user experience and optimize operational efficiency.
- Maintaining and building these competitive advantages will be fundamental for the delivery company's long-term prosperity in the emerging world of online food delivery.

Advantages and Disadvantages of Deliveroo Model

Deliveroo's business model, although pioneering and revolutionary, has both merits and demerits that create an impact on the overall effectiveness and sustainability of the business model.

Pros

- **Convenience to Customers:** Deliveroo does offer high convenience to the customers, providing a user-friendly platform for ordering meals from a wide selection of restaurants with efficient and trackable delivery. This accessibility and ease of use have contributed much to the popularity of this platform in the eyes of the consumers.
- **Restaurant access:** Deliveroo gives restaurants an opportunity to have access to a larger market, thus increasing potential sales and brand visibility. Using the platform offered by Deliveroo, restaurants need not spend more on their delivery infrastructure; they could thus focus more on food preparation and service.
- **Flexible Work Opportunities:** Deliveroo's model provides flexible work opportunities for riders in providing them with the chance to set their own schedules and work independently. It can be more appealing to a certain individual who is looking for part-time or supplemental income opportunities, thus building a larger pool of potential delivery personnel.

Cons

- **High Fees:** One significant disadvantage is the high fees charged to both restaurants and customers. These fees can impact restaurant profit margins, potentially limiting their participation in the platform, and may also influence customer affordability, particularly for price-sensitive consumers.
- **Rider Classification and Wages:** Classifying riders as independent contractors, rather than employees, raises issues over the rights, wages, and benefits of riders. The model offers flexibility but at a price: riders are left without any of the essential protections and benefits associated with proper employment, such as minimum wage guarantees, sick leave, or health insurance. Such a model has attracted a legal challenge as well as mass

protests against Deliveroo in different countries where it operates, with some courts declaring that the riders should be considered employees.

- **Algorithm-Driven Management:** Deliveroo's algorithm-driven management system for rider assignment and payment processing has also drawn criticism for its lack of transparency and potential for unfair treatment. It has been criticized regarding the impacts of algorithms on riders' earnings and work. Due to this algorithm, riders are suffering from unpredictable workloads and unfair deactivations in work.
- **Profitability:** Deliveroo has struggled to be profitable on a consistent basis. A competitive online food delivery market, combined with high operational costs, such as rider fees and investments in technology, can make it hard to sustain healthy profit margins in the business.
- **Legal and Regulatory Challenges:** Deliveroo has faced legal and regulatory challenges related to rider classification, data privacy, and competition law in different countries. Such challenges can seriously affect the operations and reputation of the company and require significant resources to address.

Issues in Deliveroo

Deliveroo's business model and operations have been criticized and subjected to a lot of controversies that raise important social and ethical considerations.

1. Rider Classification and Working Conditions

One of the most salient issues Deliveroo faces is the characterization of its riders as independent contractors rather than employees. Such characterization has been openly resisted in several countries, with courts and regulatory bodies arguing that riders should be entitled to the protections and rights associated with employment, such as minimum wage, sick pay, and holiday pay. The debate about whether a rider is considered an employee or not continues to mark the challenges of the gig economy in classifying workers fairly and more transparently.

2. Algorithmic Management and Transparency

There is criticism of the company's use of algorithms in the administration of riders, payment, and performance. The operation has attracted much criticism for its lack of

transparency and propensity for treatment bias. Riders have been worried about the impact of the algorithm on their earnings and working conditions. Criticisms advance that such an algorithm results in unpredictable workloads and unfair deactivations. Tackling these and ensuring greater transparency in algorithmic management would be key to holding riders satisfied and trusting Deliveroo.

3. Data Privacy and Security

As a technology-driven company, Deliveroo collects and processes vast amounts of data about its customers, restaurants, and riders. Ensuring privacy and self-considering his data is paramount, particularly considering increasing concerns about data breaches and misuse of personal information. Deliveroo must prioritize data protection measures and comply with relevant data privacy regulations to maintain customer trust and safeguard sensitive information.

4. Environmental Impact

The rapid growth of the online food delivery industry recently calls out potential environmental impacts, particularly concerning increased traffic congestion and packaging waste. Deliveroo has a responsibility to minimize its environmental footprint through promoting sustainability practice such as cycle-friendly deliveries, eco-friendly packaging options, and carbon offsetting initiatives.

5. Competition and Market Dominance

Along with rapid growth and fast increase in market share, Deliveroo's blooming success has also raised significant questions about competition and market dominance. In its sprawl, the company must respect fair competition and not pursue practices that could stifle innovation or harm smaller competitors.

8. Relatability to the Indian Situation

Though Deliveroo has achieved considerable success in its markets so far, the Indian market is a very different opportunity and challenge that calls for serious contemplation.

Similarities

- **Massive and Increasingly Expanding Market:** India has a massive, fast-growing online food delivery market, as the youth of India are young, digital, and are increasingly dependent on digital solutions.
- **Mobile First Culture:** India is analogous to Deliveroo's current markets since it is a mobile-first culture in nature where most internet transactions happen on the mobile.
- **Cuisine Diversity:** The diversity of Indian cuisine resonates well with the Deliveroo model of providing numerous options in terms of variety of cuisines available and restaurant choices.
- **High Competition:** The online food order market in India is highly competitive. Market leaders such as Zomato and Swiggy are already quite established in the market. Deliveroo would need to create differentiation and compete aggressively for market shares.
- **Sensitivity to Price:** Indian customers are extremely price-sensitive, making the premium pricing strategy of Deliveroo vulnerable. The company needs to change its pricing structure or put some value propositions for attracting and retaining consumers.
- **Infrastructure Limitations:** India's infrastructure, while improving, still presents logistical challenges in certain areas. Deliveroo's reliance on GPS and real-time tracking could be hindered by inconsistent internet connectivity and address accuracy in some regions.
- **Regulatory Environment:** Deliveroo would have to operate within the hostile and complex Indian regulatory environment regarding labor laws and data privacy regulations. Currently, the company has been criticized over its classification of riders as independent contractors, an issue that will also face jurisdictions in India.

Opportunities

- **Untapped Market Potential:** Despite the challenges, India has significant untapped market potential for Deliveroo. With a concentration on premium restaurants and fast delivery, the demand on the wallets of more affluent and increasingly urban consumers can be leveraged.
- **Technology Adoption:** There is strong technology adoption, including high smartphone penetration, which suggests that India will be conducive to online business like Deliveroo.
- **Partnership Opportunities:** Deliveroo may find partners in local businesses and delivery networks, where it can reach more people and bypass infrastructural challenges.

Overall Assessment

The success of Deliveroo in India would simply depend on the adaptation of its business model and its technology platform into the real needs and challenges that exist in the Indian market. Understanding the Indian environment by looking into the competitors, consumer behavior, and regulatory requirements allows Deliveroo to be successful and strategic in entering such a promising but complex market.

9. Recommendations for Deliveroo

Based on the analysis of Deliveroo's business model, technology, competitive landscape, and the potential opportunities and challenges in the Indian market, the following suggestions are offered

- 1. Price Optimization Strategies:** Deliveroo could investigate more aggressive pricing strategies, by using tiered commission structures or offers that focus in on specific deals. For example, the company can offer lower commission rates for restaurants that have certain criteria such as high-volume orders, participating restaurants, and marketing programs. The company could also introduce loyalty programs or subscription models that would optimize repeat orders and enhance customer retention.
- 2. Improve Rider Management:** Deliveroo could focus on the welfare and happiness of the riders by considering further incentives or reassessing the classification models for the riders. Training, safety campaigns, and incentive plans for riders will increase retention levels and the quality of service will be improved, thereby improving the riders' performance standards. Establishing proper communication lines and feedback systems will also solve riders' issues and treat the riders with proper justice.
- 3. Scale Restaurant Partnerships:** Though premium restaurants are crucial and a prominent differentiator for Deliveroo, it could go bigger than premium restaurants by including a diverse list of restaurants such as local eateries and popular chains to make it more inclusive in terms of customer group and the wallet size.
- 4. Tailor services:** Once a company such as Deliveroo is penetrating the Indian market, it should undertake its own research on local tastes, competitive landscapes, and regulatory environments. It might need to modify its pricing model, delivery options, or restaurants based on local needs and demands.
- 5. Strengthen sustainability initiatives:** Deliveroo could offer incentives to use bicycles or electric vehicles for deliveries, among other practices, and encourage restaurants with eco-friendly packaging to partner with them. Carbon offsetting programs can also be initiated.
- 6. Invest in Emerging Technologies:** Deliveroo should continue to invest in emerging technologies such as artificial intelligence and machine learning to optimize its operations and further enhance the experience of its customers. This may include developing

algorithms that can predict delivery times with higher accuracy, personalized recommendations, and improved customer service.

7. **Legal and Regulatory Challenges:** There is a need for Deliveroo to proactively address the legal and regulatory challenges which it faces in various markets. This involves meeting policymakers and regulatory authorities in order to promote regulation that is fair and transparent to govern both workers and businesses in the gig economy.

By implementing these suggestions, Deliveroo can strengthen its position in the competitive online food delivery market and enhance its value proposition for all stakeholders, thereby ensuring its long-term sustainability and growth.

10. Conclusion

Deliveroo was one of the newly emerging major forces in the ever-changing online food ordering and delivery industry, as it makes use of technology to connect customers, restaurants, and riders in a convenient, flexible, and choice-driven business model. However, there are its challenges on rider classification, algorithmic management, competition, and profitability.

Deliveroo's success spells the difference that technology makes to the food-service business. This highly sophisticated technology platform, including mobile apps, order management systems, and data analytics, allows for optimization of processes and seamless user experiences. Of course, the company needs to stay alert to the ethical and social ramifications of its technological and business practices.

As Deliveroo expands into new markets and faces increasing competition, it must continue to innovate Context of the Case Study:

In the article "The Permissionless Corporation," Rita McGrath and Ram Charan discuss how digital technologies are changing the organizational structure of a firm and thus its decision-making patterns. Companies need to adapt to flat, more flexible structures where flexibility in decision-making allows the employees to make decisions rather than central managerial control. This, the authors argue, is necessary for an organization to survive in the dynamic world of business today.